REPORTABLE (14)

(1)ASHRAM INVESTMENTS (PRIVATE) LIMITED, (2) PROFEEDS (PRIVATE) LIMITED, (3) PRODUTRADE (PRIVATE) LIMITED (4) INNSCOR AFRICA LIMITED

v

COMPETITION AND TARIFF COMMISSION

CONSTITUTIONAL COURT OF ZIMBABWE
GARWE JCC, MAKARAU JCC & GOWORA JCC
HARARE: 10 FEBRUARY, 2025 & November 26, 2025

T.L. Mapuranga, for the applicants
T. Magwaliba, for the respondent

GARWE JCC:

(1) This is a court application for an order for direct access to this Court made in terms of s 167(5) of the Constitution of Zimbabwe, 2013 ("the Constitution") as read with r 21(2) of the Constitutional Court Rules, 2016 ("the Rules"). The 2016 Rules have since been repealed and substituted by the Constitutional Court Rules, 2025. However it was the 2016 Rules that were operational at the time of the filing of this application. In the event that direct access is granted, the applicants intend to file an application under s 85 (1) of the Constitution of Zimbabwe seeking a declaration that their rights to a fair hearing and to acquire and hold property, guaranteed in ss 69 (2) and 71(2) of the Constitution respectively, have been infringed by the decision of the Supreme Court of Zimbabwe in its judgment SC 91/24.

(2) The judgment of the Supreme Court which forms the basis of the present application determined an appeal filed by the respondent. The central issue for determination in the appeal was whether the Administrative Court had erred in setting aside the decision of the Competition and Tariff Commission (the respondent herein), declaring the applicants' merger null and void on the grounds that it was contrary to the public interest. Another issue was whether the Administrative Court had erred in interfering with the penalty imposed on the applicants by the Commission.

(3) The Supreme Court (hereinafter referred to as "the Supreme Court or the Court *a quo*"), after hearing the parties, made a determination. It held that the Administrative Court had erred in failing to consider the potential harmful effects of the applicants' merger. On the issue of the penalty, the Supreme Court held that s 34A (3) of the Competition Act [*Chapter 14:28*] ("the Competition Act") provides that a party failing to notify the respondent of a merger within thirty days is liable to a penalty. In the event, it found that the fourth applicant had failed to notify the Commission of the merger within the stipulated timeframe and of consummating the merger without the latter's approval. In light of these findings, the Supreme Court held that the Administrative Court had erred in substituting the penalty imposed on the fourth applicant with a mere caution because the fourth applicant's conduct had warranted a more effective penalty. The Court consequently allowed the appeal, set aside the judgment of the Administrative Court and substituted it with one dismissing the appeal noted to that Court.

(4) The applicants have sought to persuade this Court that the above decision of the Supreme Court was wrong and that it violated their fundamental rights. They further seek an order granting them direct access to this Court so that, in addition to the

declaration of the violation of their fundamental rights, the decision of the Supreme Court is set aside.

(5) Upon a consideration of the totality of the facts and the law, it seems to me, for reasons that follow, that the application does have prospects of success. There were significant procedural errors before both the Commission and the Administrative Court, errors which violated the applicants' right to a fair hearing and which should have been rectified by the Supreme Court. The Supreme Court however appears to have misconstrued the facts and erroneously found that no such violation had taken place. The application for direct access must, as a corollary, succeed as it is in the interests of justice that such access be granted.

FACTUAL BACKGROUND

(6) The first applicant is Ashram Investments (Private) Limited ("Ashram"), a Zimbabwean registered company primarily focused on investing and acquiring interests in various corporate entities. It is wholly owned by the fourth applicant, Innscor Africa Limited. The second applicant is Profeeds (Private) Limited ("Profeeds"), also a registered company and a stock feed manufacturer in Zimbabwe. The third applicant is Produtrade (Private) Limited ("Produtrade"), an agri-trading company based in Zimbabwe, whose sole purpose is to hold title to a factory leased to Profeeds. The fourth applicant is Innscor Africa Limited ("Innscor"), a company registered and incorporated in terms of the laws of Zimbabwe and wholly owns the first applicant. The respondent, the Competition and Tariff Commission ("the Competition Commission or simply the Commission"), is the authority responsible for regulating competition in Zimbabwean markets under the Competition Act [*Chapter 14:28*]("the Competition Act").

(7) In May 2015, Ashram acquired forty-nine percent of the issued share capital in Profeeds and Produtrade. On 26 February 2019, Ashram notified the Competition Commission of the merger. The Competition Commission conducted an investigation into the merger in terms of s 28 of the Act. At what appears to have been the preliminary stage of the investigation, it informed the applicants of its intention to prohibit the merger, order divestiture, impose a monetary penalty and requested them to make presentations as to why such action should not be taken. The basis upon which it intended to prohibit the merger was however not disclosed. A request for the reasons was not responded to. Thereafter the applicants, through their legal practitioners, made representations in writing to the respondent.

(8) Following a consideration of the representations, the respondent issued a determination on 21 May 2020. It found the merger inconsistent with the Act and that it should consequently be declared null and void as it was contrary to the public interest. It further ordered Ashram to divest its interest in the Profeeds and Produtrade. Furthermore, it directed Innscor to pay the sum of ZWL$40,591,483.40, equivalent to 6.43 percent of the Innscor's annual turnover for the financial year ended 2018, as a penalty for non-compliance with the merger notification requirements as prescribed in the Competition Act. No reasons accompanied that determination.

(9) On 29 May 2020, the applicants' legal practitioners wrote to the Competition Commission evincing the intention to appeal against the determination to the Administrative Court. To enable such appeal to be noted, the legal practitioners requested for the Commission's reasons for the decision. The Competition Commission

availed the reasons on 3 June 2020. In the reasons, it indicated that the merger had been analysed in the light of the operations of Profeeds and Innscor. It indicated that it had carried out a survey of the relevant market and that such revealed a high level of concentration dominated by Innscor subsidiaries suggesting possible competition concerns. It further advised that an analysis it had conducted had shown that the merger had substantially decreased competition in the market as Profeeds had become part of Innscor. It further indicated that its analysis had shown that the merged entity had acquired substantial market power and could therefore engage in unilateral conduct to the detriment of both competitors and customers, particularly given that Innscor controlled both Profeeds and National Foods Limited. It further concluded that the merger was a threat to competition in the stock feeds and day-old-chicks market and was therefore liable to prohibition. Further, since Profeeds' operations are reflected in Innscor's financial statements, it was considered appropriate that a penalty be imposed on Innscor only.

(10) Aggrieved by the decision of the respondent, the applicants filed an appeal with the Administrative Court under case number ACC43/20. On appeal, they contended that their transaction fell outside the purview of a notifiable merger under the Competition Act, as the transaction merely entailed the acquisition of a forty-nine percent shareholding in Profeeds and Produtrade and that such acquisition did not confer control or decision-making authority upon them. They argued that, if the transaction constituted a merger, the Competition Commission had erred in finding it contrary to the public interest. The applicants averred that the merger was implemented in 2015 and that history had demonstrated that the effects of the merger had been positive and not contrary to the public interest. The fourth applicant also argued that the Commission

had failed to reasonably exercise its discretion in imposing a penalty on it. The applicants averred that the Commission had not relied on any proven facts and that they (the applicants) had not been given adequate opportunity to respond to the information the Competition Commission had gathered or to the intended action by the respondent. The applicants argued that since the merger was not contrary to the public interest, there was no basis for declaring it null and void or for the first applicant to divest its shareholding in the second and third applicants.

(11) In response, the Competition Commission contended that the merger qualified as a notifiable merger. It further contended that the Ashram's forty-nine percent shareholding in Profeeds and Produtrade allowed it to exercise decisive influence or control over them. It averred that the merger was contrary to the public interest because it did not promote effective competition and the interests of customers, particularly in the long run. It also contended that the penalty was correctly imposed on Innscor because it (Innscor) effectively controlled the operations of the Ashram, Profeeds and Produtrade and was therefore obliged, in terms of s 34 A of the Act, to notify the merger within thirty days of the conclusion of the merger agreement but had failed to do so.

(12) The Administrative Court ruled in favour of the applicants. It determined that the merger was notifiable. It however found that enough time had elapsed and no adverse effects had been observed on the merger, concluding that such was not contrary to the public interest. It held that the Commission had not invited the applicants to make representations regarding the shortcomings that it had observed in the applicants' merger.

(13) The Administrative Court found that the respondent's failure to disclose the nature of its findings to the respondents before asking them to respond and thereafter proceeding to make its determination contravened s 68 of the Constitution and s 3(1) of the Administrative Justice Act [*Chapter 10:28*]. Despite mention of these two provisions, it is clear that the Court was concerned with the failure by the Commission to give the applicants a fair hearing. It remarked:

> "In this case the respondent did not invite the appellants to make representations with regard to the short comings that the respondent alleges the appellants suffered from. This was clearly not in accordance with the requirement that the respondent should take all reasonable steps to ensure that the appellants who were likely to be affected by the outcome of the investigation are given an adequate opportunity to make representations. This gross irregularity renders the respondent's manner of investigating appellant's conduct irregular and wrong. The outcome cannot be said to be in accordance with s 68 of our Constitution, nor with s 3 (1) of the Administrative Justice Act."

(14) Despite the above conclusion, the Court decided to deal with what it called "contradictory substantive indications." This merely meant the merits of the matter. The Court held that the evidence in the record showed that, from the time of the merger, Profeeds had increased its production capacity from four thousand (4,000) tonnes of stock feed per month to twelve thousand (12,000) tonnes per month, thus demonstrating that the merger was in the public interest. The Court further held that, notwithstanding the applicants' failure to comply with the thirty-day time frame stipulated in s 34A of the Competition Act, the prescribed penalty on Innscor was unduly severe. The Court consequently replaced the penalty imposed on Innscor with a caution.

(15) The Commission was aggrieved by this decision and noted an appeal to the Supreme Court ("the Court *a quo*") under case number SC 569/23. On appeal, the Commission argued that the Administrative Court had erred in failing to find that the merger was

contrary to the public interest and that the Court had considered public interest in the context of economic benefit to the merging parties and not in terms of competition law and policy. The Commission also argued that the Court had interfered with the respondent's discretionary powers and replaced a monetary penalty against the fourth applicant with a mere "caution". It was its further submission that such was contrary to s 34 (A) (5) of the Act.

(16) Before the Supreme Court, the applicants raised preliminary points: that the respondent's grounds of appeal were unclear and not concise and that the fourth ground of appeal introduced issues not addressed in the heads of argument. On the merits, the applicants contended that the Commission had not provided sufficient evidence to justify its decision to declare the merger null and void. They further contended that the findings made by the Commission were not binding on the Administrative Court because the Court had power to hear the appeal in the wide sense. The Commission led no evidence before the Court and merely relied on its own ruling. The applicants argued that the Administrative Court had considered not only the benefits of the merger to the applicants but also its benefits to the consumers of the respondent's products. The merger was therefore not contrary to the public interest. They also submitted that the Commission had acted irregularly by not affording the applicants the opportunity to make meaningful representations before coming to a conclusion that the merger was not in the public interest.

(17) Having disposed of the preliminary issues raised before it, the Court *a quo* ruled in favour of the Commission. It found that the Administrative Court ought to have assessed both the short-term and long-term effects of the merger and that since Innscor

had a controlling interest in both National Foods and Irvines and, since it also had a controlling interest in Profeeds, the merger could reasonably result in a monopoly situation in the stock feeds industry. On the penalty it found that the Administrative Court had failed to take into account the factors delineated in the Competition Act in determining an appropriate penalty. It held that such an omission was a serious misdirection that justified interference with the penalty imposed on the Innscor. The Court *a quo* also determined that the Administrative Court's findings were based on the applicants' operations during the period of three years and nine months before notification of the merger. On the conclusion by the Administrative Court that the merger was in the public interest as no negative effects from that merger had been encountered, the Court *a quo* held that the Administrative Court had failed to appreciate that this was too short a period to predict any potential long-term effects. The Court *a quo* also found that the applicants had been given reasons for the respondent's decision and that this demonstrated that the respondent had acted in terms of the law in arriving at its decision.

(18) In this regard, the Court remarked:

> "In view of the provisions of s 32 (4) the appellant made investigations and was satisfied that the merger is likely to lessen substantially the degree of competition and that the merger is also likely to result in a monopoly situation which is contrary to the public interest. It gave detailed reasons for its findings to the respondents in its final determination after receiving the respondent's submissions on why it should not act as specified in its notice …… The fact that the appellant gave the respondent notice in terms of s 31 (5) of the Act establishes that the Court *a quo* erred when it held that the appellant prohibited the merger and fined the respondents without giving them an opportunity to be heard. It is also apparent on the record that the appellant gave detailed reasons for all aspects of its orders including the penalty it imposed on Innscor."

(19) The Supreme Court therefore allowed the appeal, set aside the decision of the Administrative Court and, in its place, substituted an order dismissing the appeal to the Administrative Court. The effect of that order was to reinstate the determination previously made by the Competition Commission.

THE APPLICANTS' CASE BEFORE THIS COURT

(20) In their founding affidavit, the applicants have averred that their fundamental rights guaranteed in the Constitution have been violated by the "the effects" of the decision of the Supreme Court in a non-constitutional matter. They have stated that, while the Supreme Court did not determine a constitutional issue, the Constitution, under s 85(1), permits any aggrieved person to vindicate his/her/its fundamental rights or freedoms, no matter the source of the infringement of the right or freedom concerned. It is in this context that they have filed the present application in which they seek access to this Court in order to demonstrate that the decision of the court *a quo* in a non-constitutional matter resulted in a violation of their fundamental rights.

(21) In motivating the application, the applicants argue that this Court ought to grant them direct access because the court *a quo* violated their right to a fair hearing and their right to acquire property enshrined in ss 69(2) and s 71(2) of the Constitution, respectively. The applicants argue that the court *a quo* erroneously overlooked the respondent's failure to present evidence in the Administrative Court to support its decision to prohibit the merger, order divestiture and impose a monetary penalty on the fourth respondent.

(22) Additionally, the applicants argue that the Commission failed to provide them with the documents and materials or information used to make the decision, despite their request

for disclosure. The applicants assert that the Court *a quo* erroneously overturned the Administrative Court's findings that the merger had a positive impact on the community and was in the public interest without the respondent adducing any evidence to substantiate its position regarding the purported adverse long-term effects of the merger. They submit that the Court *a quo* ought to have appraised both the past and present effects of the merger to accurately determine its long-term impact, rather than assuming that all mergers are harmful without any substantiated basis.

(23) It is also the applicants' case that the judgment erroneously relies on inapplicable precedents, specifically, the United States Supreme Court's decision in *Standard Oil Company of New Jersey* v *United States* 221 US 1 (1911). The applicants assert that the decision in that matter was irrelevant as the outcome in that case involved a geographical division rather than a merger.

(24) The applicants further contend that the Court *a quo* committed an irregularity by failing to pronounce itself on all the issues raised, more specifically the two pivotal questions concerning the penalty and the meaning of the phrase "preceding financial year", thereby depriving the parties of a definitive ruling on these crucial matters.

(25) They therefore submit that this application has prospects of success, regard being had to the fact that the Court *a quo* upheld the decision of the Commission without any proven basis of how the Commission had arrived at that decision, thereby infringing the applicants' right to a fair hearing as enshrined in the Constitution. The applicants further argue that the Court *a quo's* refusal to approve the merger between the applicants, without valid justification, violated Ashram and Innscor's right to acquire and hold

property, protected under s 71(2) of the Constitution. They submit that there is no alternative remedy given that the Supreme Court is the final court of appeal. Further, they allege that there are no disputes of fact as the matter raises questions of law only. They accordingly ask this Court to grant the application with the respondent bearing the costs of suit.

(26) The application is opposed by the Competition Commission which has raised a number of preliminary points: that the first applicant is not properly before the Court as it had not authorised the deponent to file the founding affidavit on its behalf and that this application is a disguised appeal against the Court *a quo's* determination and that, essentially, they seek to relitigate the matter, having been unsuccessful in their initial attempt and are effectively trying to secure a rehearing of the same issues to obtain a favorable outcome. The Competition Commission denies any failure on its part to comply with its obligations, asserting that it conducted investigations and assessed the merger in accordance with the Competition Act and that there was ample evidence on record to support its decision. It further asserts that this application fails to meet the requirements of s 167(5) (1) of the Constitution as it does not raise a constitutional issue.

(27) The Commission also argues that granting the applicants direct access is not in the interest of justice, given the lack of prospects of success in their application. It further asserts that the applicants cannot claim that their rights were violated solely because the merger they consummated without notification was declared null and void due to their failure to comply with the Act.

SUBMISSIONS BEFORE THIS COURT

(28) At the hearing of the matter, Mr *Magwaliba,* for the applicants, submitted that, in competition cases, the burden of proof is always on the Commission to demonstrate that a merger is against the public interest. Counsel argued that the Commission had failed to lead evidence to demonstrate that the merger was contrary to the public interest.

(29) Mr *Magwaliba* further submitted that the Court *a quo* reached its decision and made inferences about the merger without any established facts. He argued that the Court did not address the issues of what constituted "the preceding year" and the propriety of the penalty imposed on Innscor, issues that had been raised in grounds filed before the Administrative Court and were live issues before it.

(30) Counsel therefore submitted that the Court *a quo* did not consider all the relevant factors when determining the appropriate penalty for the fourth applicant. He maintained that the applicants were not disputing the Court's decision on the merits but rather taking issue with its procedural shortcomings that infringed upon their constitutional rights. Counsel argued that the Competition Commission had attempted to engage with the applicants before it made its determination but there had been no clarity in the engagements as it was not clear on what facts the Commission had sought to prohibit the merger and penalise the fourth respondent.

(31) At hearing of this matter, Mr *Mapuranga*, for the respondent, advised the Court that he was no longer pursuing the preliminary point taken on the authority of the deponent to the founding affidavit to represent Ashram. He however submitted that the present

application should not be granted because it is a disguised appeal against the determination of the Supreme Court in a matter that did not raise any constitutional issues. Counsel averred that the Competition Commission bore no burden of proof in the inquiry on whether a merger is contrary to the public interest or not.

(32) Counsel also argued that in the appeal hearing before the Administrative Court, the burden of proof rested on the applicants, as it was them appealing against the decision of the Commission. Counsel argued that s 36 of the Competition Act does not mandate the Competition Commission to lead evidence during the inquiry stage.

(33) He further submitted that the Court *a quo* had addressed all pertinent issues before it and that a determination of the two issues cited by the applicants was not necessary. Counsel also contended that the Court had evaluated all relevant factors itemised in s 34 A (5) of the Act before pronouncing itself on the issue of the penalty.

ISSUES ARISING FOR DETERMINATION

(34) Regard being had to the above contentions by the parties, it seems to me that two broad issues arise for determination. The first is whether the application raises a constitutional issue and, secondly, if so, whether it is in the interests of justice that direct access to this Court be granted. In respect of the latter issue the question that arises is whether, as argued by the applicants, the refusal of the Competition Commission to authorise the merger was done in terms of the law, more specifically whether it provided the applicants with an adequate opportunity to make representations and thereafter whether there was sufficient evidence to support its position on the merger.

(35) The considerations that come into play in an application for direct access are set out in r 21(3) of the Rules which reads as follows:

> "3) An application in terms of sub-rule (2) shall be filed with the Registrar and served on all parties with a direct or substantial interest in the relief claimed and shall set out —
>
> (a) the grounds on which it is contended that it is in the interests of justice that an order for direct access be granted; and
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> (b) the nature of the relief sought and the grounds upon which such relief is based; and
>
> (c) whether the matter can be dealt with by the Court without the hearing of oral evidence or, if it cannot, how such evidence should be adduced and any conflict of facts resolved."

(36) As has been noted in various decisions of this Court, direct access is an extraordinary remedy that is granted only in exceptional circumstances where the requirements of r 21(3) are fully satisfied. It is mandatory for an applicant seeking direct access to this Court to demonstrate that it is in the interests of justice that such access be granted and the grounds upon which access should be granted. Access is granted only in deserving cases that meet the requirements prescribed by the Rules of this Court – see *Liberal Democrats & Ors* v *The President of the Republic of Zimbabwe E.D. Mnangagwa N.O & Ors* CCZ 7-18.

(37) The factors that are taken into account in determining whether it is in the interests of justice for direct access to be granted are set out in r 21(8). The rule provides:

> "(8) In determining whether or not it is in the interest of justice for a matter to be brought directly to the Court, the Court or Judge may, in addition to any other relevant consideration, take the following into account—
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> (a) the prospects of success if direct access is granted;
>
> (b) whether the applicant has any other remedy available to him or her;
>
> (c) whether there are disputes of fact in the matter."

(38) The court must take into account all relevant factors when determining whether granting direct access to the court would serve the interests of justice. A key consideration is whether the intended application raises a constitutional issue as the court's jurisdiction cannot be invoked in the absence of such a constitutional issue. In *Fairclot Investment and Ors* v *Augur Investments and Anor* CCZ 16-24, at p. 16, this Court stated:

> "In other words, in the absence of a constitutional matter, the question of the interests of justice would not arise. A related consideration is that a matter does not become a constitutional matter, and therefore fall within the jurisdiction of the court, merely because there is reference to a constitutional provision or an allegation of the violation of a constitutional right – *Joseph Chani* v *Justice Hlekani Mwayera & Ors* (1) ZLR 17. There ought to be a need in the matter for the court to engage in the interpretation, protection or enforcement of the Constitution."

(39) In the present matter, the applicants have alleged a violation of two of their rights by the Supreme Court's decision. They allege a violation of their rights under s 69 (2) and 71 of the Constitution. They have narrated the conduct of the Court *a quo* which they allege resulted in the violation of those rights. I am satisfied, in these circumstances, that the application does not merely make a passing reference to the Constitution and that it raises a constitutional issue. The application requires the Court to interpret and enforce the Constitution. In these circumstances I am satisfied that the application does indeed raise a constitutional issue. Whether or not the applicant is ultimately successful is not a relevant issue at this stage – *Meda* v *Sibanda & Ors* 2016 (2) ZLR 232(CC), 236 A-D.

DECISIONS OF THE SUPREME COURT ON NON-CONSTITUTIONAL ISSUES ARE FINAL

(40) It is trite that this Court lacks jurisdiction to review the correctness of the decisions of the Supreme Court on non-constitutional matters, as such decisions are final and binding. Section 169 of the Constitution confirms the status of the Supreme Court as the final Court of appeal for Zimbabwe except in matters over which the Constitutional Court has jurisdiction. The status of the Supreme Court as the final court of appeal is further reinforced by s 26(1) of the Supreme Court Act [*Chapter 7:13*], which states that there shall be no appeal from any judgment or order of the Supreme Court.

(41) In this case however, the applicants have approached this Court alleging that it is the Supreme Court decision itself which has infringed their constitutional right to a fair hearing and their right to hold and own property, enshrined in ss 69(2) and 71(2) of the Constitution respectively. The applicants contend that the Commission did not give them the opportunity to respond to its intended action and that it failed to provide evidence to justify its decision to prohibit the merger and order divestiture. They further argue that the Court *a quo's* decision was arbitrary, as it upheld the Commission's ruling without fully understanding the legal footing for that decision. It is on that basis that the applicants argue that the court *a quo*'s decision violated their rights under s 69(2) of the Constitution. That provision guarantees the right to a fair, speedy, and public hearing within a reasonable time before an independent and impartial court, tribunal or other forum established by law.

(42) As observed in numerous decisions of this court, where a litigant seeks to impugn a decision of the Supreme Court on the basis that such decision has violated his or her or its fundamental rights, and seeks direct access to impugn such decision, the litigant must show that there is a real likelihood of the Court finding that the Supreme Court infringed

the applicants' rights to judicial protection. The Supreme Court must have failed to act in accordance with the requirements of the law governing the proceedings or prescribing the rights and obligations subject to determination. Such failure to act must be shown to have disabled the court from making a decision on the non-constitutional issue that was before it. In short, therefore, our jurisprudence is now settled that decisions of the Supreme Court are, in select instances, reviewable and that such decisions are not always protected by S 169 of the Constitution which designates such decisions as being final. The issue that then arises is whether the applicants have demonstrated that the Supreme Court failed to act in terms of the law and that such failure disabled it from making a decision on the issues before it. Put another way, whether the applicants have shown that they have prospects of success should direct access be granted.

WHETHER APPLICANTS HAVE PROSPECTS OF SUCCESS

(43) Both in their heads of argument and oral submissions, the applicants have argued that the Competition Commission did not give them an adequate opportunity to make representations to it before it arrived at its decision. They submit that the Commission did not act on any proven facts but rather on its own conclusions derived from representations made to it by undisclosed third parties. They argue that the prohibition was made under these circumstances and that they were not therefore accorded a fair hearing.

(44) Section 28 of the Competition Act outlines the procedure that must be followed by the respondent in assessing whether to grant or refuse a merger. The section provides:

> **"28 Power of Commission to investigate restrictive practices, mergers and monopoly situations**

(1) Subject to this Act, the Commission may make such investigation as it considers necessary—

(a) into any restrictive practice which the Commission has reason to believe exists or may come into existence;

(b) in order to ascertain—
(i) whether any merger has been, is being or is proposed to be made,
(ii)the nature and extent of any controlling interest that is held or may be acquired in a merger or proposed merger;

(c) into any type of business agreement, arrangement, understanding or method of trading which, in the opinion of the Commission, is being or may be adopted for the purpose of or in connection with the creation or maintenance of a restrictive practice;

(d) into any monopoly situation which the Commission has reason to believe exists or may come into existence.

(1a) For the purposes of subsection (1) the Commission may, through its investigation officers, make a preliminary investigation without notice, and section forty-seven shall apply to such preliminary investigation.

(2) If the Commission considers an investigation to be necessary, whether or not after a preliminary investigation in terms of subsection (1a), the Commission shall publish a notice in the Gazette and in such newspaper circulating in the area covered by the investigation as the Commission thinks appropriate—

(a) stating the nature of the proposed investigation; and

(b) calling upon any interested person who wishes to do so to submit written representations to the Commission in regard to the subject matter of the proposed investigation.

(3) For the purposes of an investigation under this section, the Commission shall have the powers that are conferred upon a commissioner by the Commissions of Inquiry Act [*Chapter 10:07*], other than the power to order a person to be detained in custody, and ss 9 to 13 and 15 to 19 of that Act shall apply, mutatis mutandis, in relation to an investigation under this section and to any person summoned to give or giving evidence at that investigation.

(4) In any investigation under this section, *the Commission shall ensure that the rules commonly known as the rules of natural justice are duly observed and, in particular, shall take all reasonable steps to ensure that every person whose interests are likely to be affected by the outcome of the investigation is given an adequate opportunity to make representations in the matter*." (italics are for emphasis)

(45) Section 28 (4) of the above Act provides, in no uncertain terms, that whenever the respondent carries out an investigation, it shall ensure that the rules of natural justice are observed and that every person whose interests are likely to be affected by the outcome of the investigation is given an adequate opportunity to make representations. This duty to observe natural justice has been reinforced in a number of decisions of the Courts in this Country. In *City of Harare* v *Mushoriwa* SC 54-18, the Supreme Court of Zimbabwe emphasised the importance of adhering to the principles of natural justice when exercising any power or discretion conferred by law. The Court stated at p15 of the judgment:

> "Insofar as concerns the exercise of any power or discretion conferred by any enactment, it is axiomatic that the functionary invested with the power to act or decide must comply with such rules of natural justice as are appropriate to the function to be performed as well as the time and circumstance in question. The two basic requirements in this regard enjoin the functionary concerned to decide without bias and to allow representations to be made before the decision is reached or any consequential action is taken. These basic tenets, as derived from the common law and embodied in the *maxims nemo debet esse judex in sua aut propria causa* and *audi alteram partem*, are now codified in s 3 of the Administrative Justice Act [*Chapter 10:28*] and reaffirmed in s 68 of the Constitution."

(46) G. Feltoe in *A Guide to Zimbabwean Administrative Law, Third Edition* states that the principles of natural justice embody fundamental notions of procedural fairness and justice. He states at p 23:

> "The principles of natural justice embody fundamental notions of procedural fairness and justice. As applied to administrative decisions, these principles seek to ensure that such decisions are only taken after fair and equitable procedures have been adhered to. In essence natural justice tries to guarantee that the parties who will be affected by the decisions receive a fair and unbiased hearing before the administrative tribunals reach their decisions. By required adherence to standards of procedural fairness, not only is justice seen to be done, but also these principles assist tribunals to reach substantively correct decisions. If the principles are observed, decisions are reached only after the tribunals have been informed of facts relevant to their determinations and decisions are reached on an objective evaluation of the evidence …."

(47) In *Damson* v *Dzipange and Anor* HH 830-22, the High Court of Zimbabwe also emphasised the importance of the *audi alteram partem* rule in the adjudication of disputes. It stated at p. 4 of the judgment:

> "In everyday parlance, the *audi alteram partem* right is a principle of fairness and natural justice that provides that an administrative authority including courts should not make a decision adverse to a person without affording that person the chance to air or present his or her side of the story. The rule ensures that the administrative authority gives a fair and balanced decision and in this way the public will have confidence in the justice system."

(48) Similarly, in *Taylor* v *Minister of Education & Anor* 1996 (2) ZLR 772 (S) at 780 A-B, the Supreme Court of Zimbabwe highlighted the flexibility of the *audi alteram partem* principle, noting that:

> "The maxim *audi alteram partem* expresses a flexible tenet of natural justice that has resounded through the ages. One is reminded that even God sought and heard Adam's defence before banishing him from the Garden of Eden. Yet the proper limits of the principle are not precisely defined. In traditional formulation it prescribes that when a statute empowers a public official or body to give a decision which prejudicially affects a person in his liberty or property or existing rights, he or she has a right to be heard in the ordinary course before the decision is taken, see *Metsola* v *Chairman Public Service Commission* & *Anor* 1989 (3) ZLR 147 (S) at 333B-F."

(49) A perusal of the record shows that on 28 February 2019, the applicants, through their lawyers, wrote to the Commission advising of the merger and circumstances surrounding the merger. They did this of their own accord. In the letter, it was stated that the merger had had a positive impact on Profeeds and the stock feeds industry in general. It was also stated that other feed manufactures had entered the market, that new feed and breeding companies such as Agrifoods and Capital Foods had been revived. The market had seen the resurgence of previously dormant players like Novatek, Feedmix and Country Foods. It was further suggested that the combined market share

of Profeeds and National Foods had gone down from sixty four percent in 2013 to forty one percent in 2018. All in all, it was suggested that the merger had been immensely beneficial not only to Profeeds but also to consumers and competitors alike. Profeeds had grown the number of its shops from nineteen to forty three shops. In addition, a number of players such as Veterinary Distributors, Feedmix, N Richards, Hyperfeeds, and Gain Cash & Carry had become active in the day-old chick distribution. Training had also been extended to small scale farmers, youth and women.

(50) Following receipt of the merger notification, the respondent conducted preliminary investigations into the merger. It is apparent that it sought the views of other relevant players in the market. Indeed the respondent accepts in its notice of opposition that it relied on feedback from other stakeholders and its assessment of the market share, the number of players, barriers to entry and other relevant considerations. It concluded from those investigations that that the merger was not in the public interest. It therefore wrote to the first applicant on 13 December 2019 advising of its intention to prohibit the merger between Ashram, Profeeds and Produtrade, order Ashram to divest from Profeeds and impose a penalty of ZWL $40,591,483,40 on the merged entity. It invited the applicants to make representations, if any, within fourteen days of receipt of the letter. No reasons for the threatened course of action were given. Nor was any factual basis provided for the decision.

(51) The applicants responded, incorporating in part the earlier submissions made at the time of the merger notification. They complained however that they were being asked to respond without knowing the views and preliminary findings of fact made by the Commission. They stated that in the absence of a stated position by the Commission,

any submissions made "were to be on the basis of assumptions." A request by the applicants for the reasons was not responded to. In the circumstances, they decided to respond but without knowing the basis of the intended course of action. In the written response, they urged the Commission to reconsider its intended action. They submitted that the penalty was likely to cause massive losses to Profeeds, the parties and the market in general. On the penalty, they submitted that Innscor only had an indirect interest in the merging parties and should therefore not be penalised. They further submitted that the penalty should be based on the turnover of the merging parties for the year preceding the merger and not on the turnover of Innscor, whose turnover would have included that of other subsidiaries not involved in the dispute.

(52) On 21 May 2020, the Commission wrote to the first applicant advising of its final decision following its consideration of the representations made by the applicants. It confirmed its earlier preliminary determination to prohibit the merger, order the divestiture of Ashram from Profeeds with immediate effect and impose a monetary penalty on the merged entity of ZWL $40,591,483,40, being 6,43 percent of Innscor's turnover for the year ended 2018. This is the determination that was ultimately confirmed by the Supreme Court following the appeal filed by the Commission and forms the basis of the present application for direct access. Following the final determination, the applicants requested the Commission to provide its reasons for the decision, which the Commission did on 3 June 2020. It was only at that stage that the applicants got to know the basis upon which the Commission had prohibited the merger and ordered divestiture.

(53) On a careful consideration of the above facts, I am of the *prima facie* view that the applicants may not have been treated fairly and that they did not receive a fair hearing before the Commission. I say for the reasons that follow.

(54) The Commission accepts that during the preliminary investigation it undertook, it received a number of representations from a number of third parties or entities. Perhaps to justify its decision not to divulge the information it had gathered during the enquiry, it has stated that, in terms of s 48 of the Act, it has a duty of confidentiality. My *prima facie* interpretation of that duty is not that the respondent should never divulge the results of its preliminary findings before requesting an interested party to respond to its intended action. What s 48 simply means, in my view, is that the respondent has a statutory duty to protect the identity of its sources of information. The essence of its preliminary findings - the preliminary facts and figures or statistics which justify prohibition of a merger - should be disclosed to the affected party to enable such party to make a meaningful response. It makes little sense, as happened in this case, to expect the affected party to make a meaningful response without knowing the basis upon which the respondent intended to prohibit the merger and order divestiture.

(55) The Commission, inevitably relying on information it had gathered and representations made to it by third parties already referred to, considered the merger to be against the public interest. It also disclosed the action it intended to take. It did not, however, provide the factual or legal basis upon which it intended to act. It then asked the applicants to make representations on the conclusion that it had come to. The applicants complied but made it clear that they could not properly respond as they did not know the basis on which the respondent had found that the merger was not in the public

interest and that the first applicant should divest from the second applicant. The applicant's complaint was that they were being asked to respond in the dark and make assumptions on the possible basis for the prohibition. These facts were not in dispute at any stage.

(56) It seems to me, from the foregoing, that the applicants may not have been afforded a proper or fair opportunity to contest any preliminary findings reached by the respondent. The Commission made a final decision to prohibit the merger and order divestiture upon receipt of the applicants' representations and only thereafter, upon request by the applicants and for purposes of noting an appeal, did it provide reasons for its decision. I do not see how, in these circumstances, it can be suggested that the applicants were given a fair opportunity to make representations on the intended prohibition and divestiture. As stated by GUBBAY JA in *Metsola* v *Chairman, Public Service Commission* & *Anor* 1989 (3) ZLR 147 (SC), 154, the *audi* maxim:

> "…… may include the right to be apprised of the information and reasons underlying the impending decision …… to disclosure of material documents ……"
> and that an affected person:
> "…… must be put in possession of such information as will render his right to make representations a real, and not an illusory one." (At p 155 B).

(57) It also seems to me that the failure by the Commission to apprise the applicants of the nature of the information they had gathered and the basis upon which it intended to prohibit the merger inevitably placed the applicants in the invidious position where they had to respond in the dark. There was therefore no compliance with s 28 (4) of the Competition Act. The applicants had to assume that certain conclusions had been reached and attempted to navigate this difficult terrain by relating their circumstances to the factors that the Commission is obliged to take into consideration in terms of s 32

of the Act. It cannot therefore be suggested that, in these circumstances, the applicants were afforded a fair hearing by the Commission.

(58) The applicants appealed to the Administration Court on a number of grounds. In its determination, the Administrative Court found that the applicants had not been treated fairly by the respondent. At p 6 of the judgment, the Court concluded, as already noted, that the investigations had been irregularly conducted.

(59) The circumstances surrounding the manner in which the Commission had made a determination were not in dispute. On the basis of those facts, I am inclined to accept the finding by the Administrative Court that the applicants' right to a fair hearing had been violated. However what the Court did thereafter only served to further complicate the matter. Notwithstanding its finding, the Court decided to delve into the merits of the dispute between the parties. It went on to hold that "the record of proceedings" showed that the merger had had pro-competitive effects which were in the public interest. By record of the proceedings, the court, in essence, was referring to the submissions made by the applicants both before the Commission and the Court itself. It proceeded to accept, *inter alia*, the claim by the applicants that the market share of the merged entity had declined from sixty-four percent to forty-one percent, that at least twenty other players had entered the stock feeds market and that Profeeds had reduced the prices of its products, thereby benefiting customers. These claims had been made by the applicants in their representation to the Commission and in submissions before the Administrative Court but were never independently verified.

(60) The view I take is that it was irregular on the part of the Administrative Court to proceed to deal with the merits of the dispute having found that the applicants had not been afforded an adequate or fair opportunity to make representations before the Commission. Everything that followed would have been void. The Supreme Court should have been alive to this irregularity but clearly was not. The Supreme Court should also have been alive to the reality that besides the submissions made by the parties both before the Commission and the Administrative Court, no facts had been proved by either party before these two *fora*.

(61) An appeal to the Administrative Court of Zimbabwe is regulated by s 4 of the Administrative Court Act [*Chapter 7:01*] as read with s 40 of the Competition Act. In terms of s 40 of the Administrative Court Act, the power of the Court on appeal or review is limited to confirming, varying, reversing or setting aside the decision, order or action concerned. It may additionally refer the matter back to the authority concerned for further consideration.

(62) Contrary to the spirited submissions by counsel for the applicants that the Administrative Court has the power to rehear the appeal afresh, i.e. in the wide sense, it is clear that the Court has no jurisdiction, in competition cases, to hear evidence from the parties for the first time on appeal. The decision of the Supreme Court cited by the applicants in *Remo Investments Brokers (Pvt) Ltd & Ors* v *the Security Commission of Zimbabwe* SC 85/14 is patently inapplicable to the facts of this matter. The appeal in that matter was in terms of s 108 of the Securities and Exchange Act, [*Chapter 24:25*]. That section provides that an aggrieved person may appeal against the decision of the Minister to the Administrative Court and that in determining such appeal, the

Administrative Court may, *inter alia*, give such order, whether as to costs or otherwise, as it deems fit. It was in the context of that provision that the Supreme Court, relying on another previous decision of the Court in *Watch Tower Bible & Tract Society of Pennsylvania & Anor* v *Drum Investments (Private) Ltd & Anor* 1993 (2) ZLR 67 (S), stated that an appeal to the Administrative Court was in the wide sense, that is to say, the Court decides the issues afresh after evidence is led for the first time and witnesses examined in accordance with the law.

(63) On a proper interpretation of s 40 of the Competition Act, it is clear that, in an appeal from a decision of the Commission, the Administrative Court does not enjoy the power to rehear the matter afresh as its jurisdiction is limited to confirming, varying, setting aside, reversing the action taken by the respondent or, alternatively, remitting the matter to the Commission for further consideration. Simply put, the position seems to be that, unless another law gives authority to the Administrative Court to deal with an appeal before it in the wide sense, the Court must approach such appeal in the strict or narrow sense stipulated in s 4 of the Act. It seems to me that the role of the Court has been unduly attenuated. The Court should be endowed with the power, where necessary, to deal with appeals from lower tribunals in the wide sense. This would enable the Court to rectify any irregularities that may have pervaded earlier proceedings in those tribunals.

(64) Having irregularly decided to deal with the matter on the merits, the Administrative Court was content to limit its consideration of the appeal to the written submissions made by the parties before both the Commission and before itself. In my view that approach

was wrong. The Court could not have properly dealt with the matter on the merits having made a clear finding that the applicants had not been given a fair hearing.

(65) A further difficulty I have with the decision of the Administrative Court to deal with the matter on the merits is that there were disputes of fact that were irresoluble in the absence of further evidence. For example, it was in dispute whether the merger was in the public interest. More particularly, the benefits touted by the applicants as exemplifying the benefits of the merger were never accepted by the Commission. Further, it was the applicants' contention that, following the merger, the combined market share of Profeeds and National Foods actually reduced from sixty-four percent to forty-one percent. The Commission's position, on the other hand, was that the combined market share of the two entities increased to fifty-seven percent thereby demonstrating the negative effect of the merger. Suggestions by the applicants that the merger had encouraged competition and that, overally, it had had a positive impact on the stock feeds industry and economy were thrown out by the Commission. To the contrary it was the Commission's position that if the merger were allowed, the two dominant players, namely, Profeeds and National Foods, would be under the control of Innscor, thereby creating a dominant firm with the ability to engage in co-ordinated and unilateral effects, thereby substantially lessening competition.

(66) In these circumstances, it was impossible for the Administrative Court to have properly determined these disputes and yet it did, inevitably to the detriment of the Commission. As the Commission submitted in its heads of argument before the Supreme Court, the Administrative Court appeared to have acted on the "mere say-so" of the applicants as reflected in their papers filed with the Court. The suggestion that the merger had had a

pro-competitive effect and that the combined share of National Foods and Profeeds had dropped to forty-one percent was a submission made by the applicants before both the Commission and the Administrative Court but which the Administrative Court accepted without any factual basis for doing so. No basis was given by the Court for rejecting the Commission's claim that the combined market share had risen to fifty seven percent. It even accepted the unsubstantiated claim of the applicants that prices of goods had been reduced following the merger.

(67) I am in no doubt that the Administrative Court was not in a position to make these definitive findings. In a number of instances it ended up merely regurgitating some of the claims that had been made by the applicants as part of their submissions before it. The decision by that Court to hear the matter on the merits was, in any event, clearly improper.

(68) The proceedings that continued before the Administrative Court after it found that the applicants had not been given a fair hearing were irregular. Those proceedings should have been set aside by the Supreme Court. A further order could have been made remitting the matter to the Commission to conduct a fresh investigation in accordance with the provisions of s 28 (2) of the Act, read together with s 11 of the Commission of Inquiry Act [*Chapter 10:07*] which allows commissioners to summon witnesses, swear them in, examine them and call for the production of documents.

(69) Aggrieved by the findings of the Administrative Court, the Commission appealed to the Supreme Court against the determination of the Administrative Court. Unfortunately, the Supreme Court proceeded as if the proceedings before the Administrative Court

relating to the merits had been properly conducted. It proceeded to impugn the reasoning process of the Administrative Court on the merits. There was, however, failure to appreciate that no facts had been proved before both the Commission and the Administrative Court and that, in any event, there were disputes of fact arising from the written submissions made by both parties which were not capable of resolution by that Court. It proceeded to make its own findings based on that flawed process in the Administrative Court.

(70) The Supreme Court also appears to have misunderstood the facts surrounding the dispute. The Court found that the respondent had given detailed reasons for its findings in its final determination and that it had given notice to the applicants in terms of s 31 (5) of the Act. That was not in dispute but was not the issue. The issue was whether the Commission had given the applicants a fair hearing during the investigations it carried out as required by s 28 (4) of the Competition Act. The view has already been expressed that such an opportunity was not availed to the applicants.

(71) The Supreme Court set aside the decision of the Administrative Court made in the circumstances described above and reinstated the determination of the Commission which, as already found, was made secretly in circumstances where the applicant had not been afforded a fair hearing. Once it was determined that the applicants had not been given a fair hearing, everything else that followed would have been a nullity. The Supreme Court however appeared oblivious to that violation. It proceeded to sanitize proceedings that were irregular from the beginning. It seems to me that, given the foregoing, the court *a quo* failed to act in accordance with the law which required that the factual and legal basis of the respondent's intention to prohibit the merger should

have been disclosed to enable the applicants to make meaningful representations. The Court also failed to appreciate that there were no proven facts before either the Commission itself or the Administrative Court on which it could make definitive findings on appeal. The Court should have set aside the decision of the Administrative Court. In its place it could have substituted another order setting aside the determination made by the Commission and remitting the matter for a proper investigation before the Commission. Given these circumstances, it cannot be said that the applicants received a fair hearing.

(72) In light of the above conclusion, it becomes unnecessary to decide whether there is substance to the suggestion that the applicants' rights under s 71 (2) of the Constitution were also violated. It also becomes unnecessary to decide whether the Supreme Court failed to determine all the issues raised before it by the parties.

DISPOSITION

(73) The common cause facts clearly show that the applicants did not receive a fair hearing before the Commission and that serious errors were made during all the three hearings that took place. In the circumstances, it is my finding that the applicants enjoy reasonable prospects of success should access be granted. It is therefore in the interests of justice that direct access to this Court be granted.

(74) As already suggested earlier in this judgment, there is need for the Administrative Court Act to be amended to enable the Court, where necessary, to hear appeals that come before it in the wide sense. This would enable the Court to hear evidence afresh and correct, if necessary, any irregularities that may have taken place before the tribunal or

authority whose decision on appeal is sought to be impugned on appeal. As the facts of this case show, the Court has the authority to hear an appeal in the wide sense only where another enactment so allows. It is suggested that the Administrative Court Act itself should be amended to allow that Court to intervene where necessary rather than confine the exercise of such power to those instances where individual statutes provide for appeals to the Court in the wide sense.

(75) In the result, it be and is hereby ordered as follows:

(1) Leave be and is hereby granted for the applicants to institute an application in terms of s 85 (1) (a) of the Constitution for an order declaring that the judgment of the Supreme Court of Zimbabwe in case No SC 91/24 violated their rights to a fair hearing enshrined in s 69 (2) of the Constitution.

(2) The above application shall be filed within ten (10) days of the date of this order and be substantially in accordance with the draft attached to the founding papers in this application.

(3) There shall be no order as to costs.

MAKARAU JCC : I AGREE

GOWORA JCC : I AGREE

Dube, Manikai and Hwacha - Applicants' Legal Practitioners

Mutizwa, Mhlanga and Nemaramba - Respondent's Legal Practitioners